

REO Title Transfer Issues

Some borrowers who know they're in foreclosure trouble may elect (with the lender's permission) to deed their property back to the lender. This is called deed in lieu of foreclosure. Others end up going through the foreclosure process, where the lender first tries to sell the property at auction. However, foreclosure sales often fail, since what is owed to the bank is almost always more than what the property is worth.

Both deed in lieu of foreclosure and a failed foreclosure sale result in what's called real estate-owned, or REO. The lender's goal is to sell REOs as quickly as possible, so generally, the lender has taken steps to remove obstacles. Liens and other title issues may have been cleared, homeowner redemption periods may have expired, and tenants have likely been evicted or have left on their own.

REOs can be good buys-sometimes. Lenders are in the business of making loans, which is how they make money. They aren't in the business of buying and selling real estate. Bank-held property represents a potential future financial investment that could generate a profit. In addition, this unsold item appears on the lender's balance sheet, which the lending institution's shareholders could view as an area of mismanagement. This can cause problems if the shareholders decide to take action.

For these reasons, the lender wants to generate a quick and efficient sale of its REOs, which sometimes leads to bargain prices-as much as 20% off the comparative market price of the property. Due to the need for a quick sale, the lender usually clears up tax liens and other problems, such as evictions, making the process fairly straightforward. Title issues are less common than with foreclosure sales.

However, title issues do still occur with REO properties. These include:

- **Delays due to an internal audit:** Sometimes a lender will request a title audit. Due to the previous "robo signing" fiasco (where banks that foreclosed on consumers in record numbers were later found to have hired people off the street to rubber-stamp the foreclosure documents) and the resulting lawsuits, many lenders are cautious. Sometimes at the last minute, they send files back in order to review the steps that led to the property being foreclosed upon. This can delay closings for weeks.
- **Clouds on titles:** Typical REO title clouds include prior tax sales that the bank didn't know about, errors in the original recorded mortgage documents, etc. If an easy solution isn't available, a quiet title action may be needed. This can take several months and adds legal fees and other costs. Most contracts give the buyer the option to stay in the deal when the seller is obligated to provide a marketable title and the title is at issue.

You should recommend that your buyers pay the extra premium on REOs to get the "homeowners" level of title insurance. This is a prudent course of action whether there are title issues or not.